BEDROCK | GROUP
STRENGTHENING COMMUNITIES

Dear Partners,

This letter covers three items requiring your attention: (1) your 2025 draft K-1 is available in the portal, (2) the Southeast portfolio sale has closed and a distribution of $0.99 per unit was sent as a return of your remaining capital balance, and (3) we expect to fully dissolve the partnership by year-end 2026.

Action Required — 2025 Draft K-1 Available

Your draft 2025 Schedule K-1 is now posted to the investor portal. A notification email was sent on April 23rd; if you did not receive it, please log in directly to retrieve your document and forward it to your tax advisor. For portal access issues, contact ir@thebedrockgrp.com.

Southeast Portfolio Sale — Closed

The sale of the Southeast portfolio closed on December 30th, 2025, the most significant milestone in the fund's wind-down. The transaction included 10 of 13 portfolio investments. Of the remaining three assets two are closing as they are through their due diligence, and the last one is currently in negotiations to get into contract and start due diligence.

The fund executed two related transactions: the sale of the underlying real estate, and because the buyer financed a portion of the purchase price via a seller note held by the fund the subsequent payoff of that note.

Real estate proceeds were applied entirely to retire senior debt, defeasance of the remaining loan balances, and cover closing costs. No cash was distributed from the sale itself. The $18.78M from the seller-note payoff, after JV splits, produced ~$11M of distributable cash to Fund II LPs, equating to $0.99 per unit. This distribution was paid out in March.

Pre–JV-split economics for each:

Date of Closing: 12/30/2025

Sources & Uses: Real Estate Sale	
GROSS PROCEEDS	$29,100,000
PROPERTY LEVEL CASH	$57,066
TOTAL SOURCES	**$29,157,066**
SENIOR DEBT RETIREMENT & DEFEASANCE	($10,093,141)
CLOSING COSTS & SETTLEMENT ITEMS	($82,490)
SELLER FINANCING	($18,780,000)
TOTAL USES	**($29,157,066)**

Date of Closing: 03/14/2026

Sources & Uses: Seller Note Pay Off	
PAYOFF OF SELLER FINANCING	$18,780,000
TOTAL SOURCES	**$29,157,066**
BALANCE SHEET CLEAN UP	($2,917,837)
RESERVES	($270,000)
CASH TO DISTRIBUTE	($16,060,163)
TOTAL USES	**($18,780,000)**

Wind-Down Timeline
With the SE portfolio closed, the fund has entered its terminal phase. Key milestones:

- 3rd **Quarter 2026**: Closing of the three remaining portfolio investments
- 3rd **Quarter 2026**: Final waterfall calculation and reconciliation of investor accounts
- 4th **Quarter 2026**: Final LP distribution
- 4th **Quarter 2026**: Final federal and state tax filings; formal partnership dissolution

We will provide written confirmation as each milestone is reached. Following dissolution, you will receive a final 2026 K-1

Fund Performance at Exit
Inclusive of the SE disposition and assuming a base case for the remaining three assets, Fund II is tracking to a MOIC of 1.87x over the life of the fund. We will publish final realized figures with the dissolution notice.

Questions
Thank you for your partnership through Fund II. We recognize that the wind-down has been a longer process than any of us anticipated at outset, and we appreciate your continued patience. For questions on the K-1, the disposition, the distribution, or the wind-down sequence, please reach out at ir@thebedrockgrp.com.

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